

Model Questions

Senior 1 Accounting. Chapters 8, 10, 11, 12 and the financial statements.

Answers with full workings are in `Answer_Key.md`. Try every question before you look.

Marks are shown in brackets. All amounts are in Malaysian Ringgit (RM).

Chapter 8: Irrecoverable Debts and Allowance for Receivables

Section A: Multiple choice (1 mark each)

8.1 Which double entry writes off an irrecoverable debt?

- A. Debit trade receivable, credit irrecoverable debts
- B. Debit irrecoverable debts, credit trade receivable
- C. Debit bank, credit irrecoverable debts
- D. Debit allowance for irrecoverable debts, credit bank

8.2 Which concept is the main reason for creating an allowance for irrecoverable debts?

- A. Going concern
- B. Prudence
- C. Consistency
- D. Business entity

8.3 Trade receivables are RM30,000. The allowance is to be 4%. The allowance brought forward is RM1,000. What is the effect on the Statement of Profit or Loss?

- A. Expense of RM1,200
- B. Expense of RM200
- C. Income of RM200
- D. Expense of RM1,000

8.4 A debt of RM400 written off last year is received in full this year. What is the effect on this year's profit?

- A. Decrease by RM400
- B. No effect
- C. Increase by RM400
- D. Increase by RM800

8.5 Where is the allowance for irrecoverable debts shown in the Statement of Financial Position?

- A. Under current liabilities
- B. Added to trade receivables
- C. Deducted from trade receivables under current assets
- D. Under non-current liabilities

Section B: Short answers

8.6 Explain two differences between an irrecoverable debt and an allowance for irrecoverable debts. (4)

8.7 On 1 March 2025, Tomas, a credit customer who owes RM750, is declared bankrupt. Prepare the journal entry, with a narrative, to write off the debt. (3)

Section C: Structured questions (Level 1 easiest to Level 5 hardest)

Self-marking Excel version: [excel/Ch08_Irrecoverable_Debts.xlsx](#), sheets Q8.8 to Q8.12. Full solutions are on the green Ans tabs.

8.8 (Level 1: Easy)

Sara sells goods on credit. Her financial year ends on 31 December 2025. Two credit customers cannot pay:

- 31 March 2025: Peter, who owes RM350, is declared bankrupt.
- 30 September 2025: Jane, who owes RM200, leaves the country. Sara decides the debt will never be paid.

- a) Prepare the journal entries to write off both debts. (4)
- b) Prepare the Irrecoverable debts account for the year, showing the transfer to the income statement. (3)
- c) State the effect of the write-offs on profit and on trade receivables. (2)

8.9 (Level 2: Easy to medium)

At 31 December 2025, trade receivables are RM24,000. This includes RM800 owed by Ali, who has disappeared. The business writes off Ali's debt. It then creates an allowance for irrecoverable debts of 5% of trade receivables for the first time.

- a) Calculate trade receivables after writing off Ali's debt. (1)
- b) Calculate the allowance for irrecoverable debts. (2)
- c) Show the Statement of Profit or Loss extract for the year. (2)
- d) Show the Statement of Financial Position extract at 31 December 2025. (2)
- e) Name the accounting concept which explains why the allowance is created. (1)

8.10 (Level 3: Medium)

Lee's year ends on 30 June 2026. The allowance for irrecoverable debts at 1 July 2025 was RM900. During the year:

- A debt of RM400 owed by Omar was written off.
- Lucy paid RM250 by cheque. Her debt was written off in 2024.

Trade receivables at 30 June 2026 were RM26,000 after writing off Omar's debt. The allowance is to be 4% of trade receivables.

- a) Prepare the journal entries to record the money received from Lucy. (4)
- b) Calculate the new allowance and the change in the allowance. (2)
- c) Prepare the Allowance for irrecoverable debts account for the year. (4)
- d) Show the Statement of Profit or Loss extract for the three items above. (3)
- e) Show the Statement of Financial Position extract at 30 June 2026. (2)

8.11 (Level 4: Hard)

Grace keeps an allowance for irrecoverable debts of 3% of trade receivables. Her year end is 31 December. There was no allowance before 2023.

Item	Figure
2023	
Trade receivables before write-offs (RM)	40,000
Debts to be written off (RM)	0
2024	
Trade receivables before write-offs (RM)	50,000
Debts to be written off (RM)	0
2025	
Trade receivables before write-offs (RM)	36,000
Debts to be written off (RM)	1,000
All years	
Allowance rate	3%

- a) Calculate the allowance required at the end of each year. (3)
- b) State the amount charged or credited to the Statement of Profit or Loss each year, and whether it is an expense or income. (3)
- c) Prepare the Allowance for irrecoverable debts account for the three years. (6)
- d) Show the Statement of Financial Position extract for trade receivables at 31 December 2025. (2)

8.12 (Level 5: Challenge)

Hamid's draft profit for the year ended 31 December 2025 is RM18,000. The following items have not yet been dealt with:

- Trade receivables at 31 December 2025 are RM41,500 in the books.
- Kim owes RM1,500 and has been declared bankrupt. The debt must be written off.
- During the year RM300 was received from a customer whose debt was written off in 2023. The bookkeeper debited bank and credited trade receivables by mistake.
- The allowance for irrecoverable debts at 1 January 2025 was RM2,500. It is to be 5% of trade receivables at 31 December 2025.

- a) Calculate the correct trade receivables at 31 December 2025. (3)
 - b) Calculate the allowance required and the change in the allowance. State whether the change is an expense or income. (3)
 - c) Calculate the corrected profit for the year. (4)
 - d) Prepare the Allowance for irrecoverable debts account for the year. (3)
 - e) Show the Statement of Financial Position extract for trade receivables. (2)
 - f) Hamid says: "I will make the allowance 20% next year, just to be safe." Evaluate this idea. (3)
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Chapter 10: Tangible Non-current Assets and Depreciation

Section A: Multiple choice (1 mark each)

10.1 Which is capital expenditure?

- A. Fuel for a delivery van
- B. Buying a delivery van
- C. Repairing a delivery van
- D. Insuring a delivery van

10.2 A machine costs RM25,000. Its residual value is RM5,000 and its useful life is 5 years. What is the annual straight line depreciation?

- A. RM4,000
- B. RM5,000
- C. RM6,000
- D. RM20,000

10.3 Equipment costs RM50,000. It is depreciated at 20% per year, reducing balance. What is the depreciation charge in Year 2?

- A. RM10,000
- B. RM8,000
- C. RM6,400
- D. RM20,000

10.4 A vehicle cost RM15,000. Accumulated depreciation is RM9,000. It is sold for RM5,000. What is the result?

- A. Profit of RM1,000
- B. Loss of RM1,000
- C. Loss of RM10,000
- D. Profit of RM5,000

10.5 Which is **not** a cause of depreciation?

- A. Wear and tear
- B. Obsolescence

- C. A rise in the market price of the asset
- D. Passage of time

Section B: Short answers

10.6 Give two reasons why a business charges depreciation. Name the concept linked to each. (4)

10.7 Loose tools were valued at RM2,000 at the start of the year. Tools costing RM800 were bought during the year. At the year end the tools were valued at RM2,100. Calculate depreciation for the year. (2)

10.8 State which depreciation method suits a motor vehicle and explain why. (3)

Section C: Structured questions (Level 1 easiest to Level 5 hardest)

Self-marking Excel version: [excel/Ch10_Depreciation.xlsx](#), sheets Q10.9 to Q10.13. Full solutions are on the green Ans tabs.

10.9 (Level 1: Easy)

On 1 January 2024 a business bought a delivery van for RM18,000. It expects to use the van for 5 years and then sell it for RM3,000. The straight line method is used. The year end is 31 December.

- Calculate the annual depreciation. (2)
- Complete the table. (4)
- Show the Statement of Financial Position extract for the van at 31 December 2025. (2)
- State one cause of depreciation for a delivery van. (1)

10.10 (Level 2: Easy to medium)

A business bought a new machine. It paid the amounts below.

Item	Figure
Purchase price of machine (RM)	22,000
Delivery to the factory (RM)	600
Installation (RM)	900
Insurance for the first year (RM)	400
Repair after six months of use (RM)	250

- Calculate the cost of the machine to be shown as a non-current asset. (2)
- Classify each item as capital expenditure or revenue expenditure. (5)
- The installation cost was recorded as an expense by mistake. State the effect on profit for the year and on non-current assets. Ignore depreciation. (2)

10.11 (Level 3: Medium)

The year end is 31 December.

- A machine was bought on 1 April 2025 for RM12,000. Depreciation is 10% per year on cost, straight line, calculated on a monthly basis.
- Loose tools were valued at RM2,000 on 1 January 2025. Tools costing RM800 were bought during 2025. On 31 December 2025 the loose tools were valued at RM2,100.

- a) Calculate depreciation on the machine for 2025 and for 2026. (3)
- b) Calculate the carrying amount of the machine at 31 December 2026. (1)
- c) Prepare the journal entry to record the machine depreciation for 2025. (2)
- d) Calculate the depreciation of loose tools for 2025. (2)
- e) Explain why the revaluation method is used for loose tools. (2)

10.12 (Level 4: Hard)

On 1 January 2023 Musa bought a machine for RM40,000. It is depreciated at 25% per year, reducing balance. The year end is 31 December. On 1 January 2026 the machine was sold for RM15,000 by cheque.

- a) Calculate the depreciation for 2023, 2024 and 2025. (3)
- b) Show the carrying amount of the machine at 31 December 2025. (1)
- c) Prepare the Machinery disposal account. (5)
- d) State where the result of the disposal appears in the financial statements. (1)

10.13 (Level 5: Challenge)

Kwame's year ends on 31 December. He depreciates vans at 20% per year on cost, straight line. A full year's depreciation is charged in the year of purchase and none in the year of sale.

- 1 January 2023: bought Van A for RM25,000.
- 1 July 2024: bought Van B for RM30,000.
- 1 October 2025: sold Van A for RM12,000, paid by cheque.

- a) Calculate the depreciation charge for 2023, 2024 and 2025. (3)
 - b) Prepare the Provision for depreciation of vans account for 2023, 2024 and 2025. (6)
 - c) Prepare the Disposal of van account. (4)
 - d) Show the Statement of Financial Position extract for vans at 31 December 2025. (2)
 - e) Kwame wants to change to the reducing balance method in 2026 so his profit looks higher. Advise him, naming the concept involved. (3)
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Chapter 11: Accruals and Prepayments

Section A: Multiple choice (1 mark each)

11.1 How is an accrued expense shown in the Statement of Financial Position?

- A. Current asset
- B. Current liability
- C. Non-current liability
- D. Deducted from capital

11.2 Rent paid during the year was RM5,200. At the year end RM400 was owing. What is the rent expense?

- A. RM4,800
- B. RM5,200
- C. RM5,600
- D. RM5,800

11.3 Insurance paid during the year was RM2,400. RM500 was prepaid at the start of the year and RM600 was prepaid at the end. What is the insurance expense?

- A. RM2,300
- B. RM2,500
- C. RM2,400
- D. RM3,500

11.4 Rent received in advance is shown as:

- A. A current asset
- B. Other income
- C. A current liability
- D. An expense

11.5 Accruals and prepayments are recorded because of which concept?

- A. Money measurement
- B. Business entity
- C. Accruals (matching)
- D. Historical cost

Section B: Short answers

11.6 Explain the effect on profit if a business forgets to record an accrued expense of RM600. (2)

11.7 A business pays RM4,800 on 1 October 2025 for 12 months of insurance. The year end is 31 December 2025. Calculate the insurance expense and the prepayment. (3)

Section C: Structured questions (Level 1 easiest to Level 5 hardest)

Self-marking Excel version: [excel/Ch11_Accruals_Prepayments.xlsx](#) , sheets Q11.8 to Q11.12. Full solutions are on the green Ans tabs.

11.8 (Level 1: Easy)

A business's year ends on 31 December 2025.

- Rent is RM800 per month. During the year the business paid RM8,800 rent.
- Insurance of RM1,800 was paid during the year. Of this, RM300 is for 2026.

- a) Calculate the rent expense for the year and the amount of rent owing. (2)
- b) Calculate the insurance expense for the year. (1)
- c) State where the rent owing and the insurance prepaid appear in the Statement of Financial Position. (2)
- d) Name the concept which requires these adjustments. (1)

11.9 (Level 2: Easy to medium)

A business's year ends on 31 December 2025.

- Electricity paid: March RM600, June RM550, September RM500. The bill for October to December, RM580, was paid in January 2026.
- On 1 July 2025 the business paid RM2,400 insurance for 12 months.

- a) Prepare the Electricity account for the year. Show the balance carried down and brought down. (4)
- b) Prepare the Insurance account for the year. Show the balance carried down and brought down. (4)
- c) Show the amounts in the Statement of Financial Position at 31 December 2025. (2)

11.10 (Level 3: Medium)

Sam lets part of his premises for RM600 per month. His year ends on 31 December 2025.

- Rent received during 2025 was RM7,800. This includes the rent for January 2026.
- Commission received during 2025 was RM2,100. A further RM350 of commission for 2025 is still due.

- a) Calculate the rent income for 2025 and the amount received in advance. (2)
- b) Prepare the Rent receivable account for the year. (4)
- c) Calculate the commission income for 2025. (1)
- d) Show the other receivables and other payables in the Statement of Financial Position. (2)
- e) State the effect on profit if Sam forgot to adjust for the rent received in advance. (1)

11.11 (Level 4: Hard)

Zara's year ends on 31 March 2026. The following information is available.

Item	Figure
Wages	
Owing at 1 April 2025 (RM)	300
Paid during the year (RM)	18,000
Owing at 31 March 2026 (RM)	450
Rates	
Prepaid at 1 April 2025 (RM)	200
Paid during the year (RM)	1,600
Prepaid at 31 March 2026 (RM)	250
Commission receivable	
Received during the year (RM)	3,000
Still due at 31 March 2026 (RM)	250

- Calculate the amount for the Statement of Profit or Loss for wages, rates and commission receivable. (3)
- Prepare the Wages account for the year, showing the balance carried down. (5)
- Calculate the total of other receivables and other payables in the Statement of Financial Position at 31 March 2026. (2)

11.12 (Level 5: Challenge)

Tariq calculated a draft profit of RM32,000 for the year ended 31 December 2025. He used only the cash paid and received. No adjustments have been made.

- Insurance: RM750 was prepaid at 1 January 2025 (covering January to March 2025). On 1 April 2025 he paid RM3,600 for the year to 31 March 2026.
- Rent: RM1,000 per month until 30 June 2025, then RM1,200 per month from 1 July 2025. He paid RM13,000 during the year. Nothing was owing or prepaid at 1 January 2025.
- Wages: RM21,000 was paid during 2025. This includes RM400 owing at 1 January 2025. RM650 is owing at 31 December 2025.
- Rent received: RM4,500 was received in 2025. This includes RM300 owing from 2024 and RM500 for January 2026.
- Stationery: unused stationery at 31 December 2025 cost RM120.

- Calculate the correct amount for the Statement of Profit or Loss for insurance, rent, wages and rent received. (5)
- Calculate the corrected profit for the year. Show each adjustment. (5)
- Calculate other receivables and other payables for the Statement of Financial Position. (4)
- Prepare the Insurance account for the year. (4)

Chapter 12: Fundamental Accounting Principles and Concepts

Section A: Name the concept (1 mark each)

For each situation, name the concept which applies.

12.1 The owner's private car is not included in the business accounts.

12.2 Land is recorded at the price paid for it, not its current value.

12.3 The same depreciation method is used every year.

12.4 A RM5 calculator is recorded as an expense, not a non-current asset.

12.5 Revenue is recorded when goods are delivered, not when cash is received.

12.6 The skill of the staff is not recorded in the accounts.

12.7 Every transaction is recorded with a debit and a credit.

12.8 Assets are shown at cost less depreciation, not at closing-down sale prices.

12.9 Electricity used in December but paid in January is included in December's year.

12.10 An allowance for irrecoverable debts is created.

Self-marking version with drop-down lists: [excel/Ch12_Accounting_Concepts.xlsx](#), Quiz sheet.

Section B: Short answers

12.11 Explain the prudence concept and give one example of its use. (3)

12.12 Explain the going concern concept. State how asset values would change if a business were **not** a going concern. (3)

12.13 Name and explain two qualities which make accounting information useful. (4)

12.14 Goods cost RM2,000. They are damaged. They can be sold for RM1,800 after repairs costing RM300. At what value should they be shown in inventory? Show your working and name the concept. (3)

Section C: Structured questions (Level 1 easiest to Level 5 hardest)

Self-marking Excel version: [excel/Ch12_Accounting_Concepts.xlsx](#), sheets Q12.15 to Q12.19. Full solutions are on the green Ans tabs.

12.15 (Level 1: Easy)

Name the concept described by each statement. (1 mark each)

a) to e) Choose the concept for each statement. (5)

- a) The business is treated as separate from its owner.
- b) Assets are recorded at the price paid for them.
- c) Every transaction affects two accounts.
- d) Only items with a money value are recorded.
- e) The same methods are used from one year to the next.
- f) Name one quality that makes accounting information useful. (1)

12.16 (Level 2: Easy to medium)

For each situation, name the concept which applies and explain how it applies. (2 marks each)

- a) The owner paid for a family holiday with a business cheque. It was recorded as drawings.
- b) Goods were sold on credit on 29 December 2025 and paid for on 5 January 2026. The sale was recorded in 2025.
- c) A waste bin costing RM8 was recorded as an expense, although it will last for years.
- d) Premises bought for RM80,000 are now worth RM120,000. They are still shown at RM80,000.

12.17 (Level 3: Medium)

At the year end a trader has four items of inventory.

Item	Cost (RM)	Expected selling price (RM)	Costs to sell or repair (RM)
A	1,200	1,800	100
B	900	950	200
C	2,000	2,500	300
D (damaged)	600	250	0

- a) Calculate the value of each item and the total value of closing inventory. (4)
- b) The trader had valued all inventory at cost. State the effect of your correct valuation on gross profit. (2)
- c) Name the concept used and explain why it applies. (2)

12.18 (Level 4: Hard)

Mira made the decisions below. For each one, name the concept she has not followed, explain why, and state the correct treatment. (3 marks each)

- a) She changed her depreciation method from straight line to reducing balance this year. She plans to change back next year to make her profit look steady.
- b) She recorded the repayment of her personal car loan as a business expense.
- c) She included in 2025 revenue an order received on 28 December 2025 for goods to be delivered in February 2026.

- d) She did not record December electricity of RM400 because the bill had not been paid.
- e) She increased the value of premises from cost of RM100,000 to a market value of RM150,000 and added the RM50,000 to profit.

12.19 (Level 5: Challenge)

A business is thinking of closing down. The following information is available.

Item	Value in the books (RM)	Value if the business closes (RM)
Premises (carrying amount)	80,000	95,000
Equipment (carrying amount)	20,000	6,000
Inventory (at cost)	15,000	9,000
Trade receivables	12,000	10,500
Allowance for irrecoverable debts	600	-
Bank	3,000	3,000
Trade payables	8,000	8,000
Loan	25,000	25,000

If the business closes, RM10,500 is the amount of trade receivables expected to be collected.

- a) Calculate net assets on the going concern basis (book values). (3)
- b) Calculate net assets if the business closes. (3)
- c) Explain why the two figures are different. Name the concept involved. (3)
- d) While the business continues trading, premises must stay at RM80,000 even though they are worth RM95,000. Name two concepts that support this. (2)
- e) Name two users of the financial statements who would be interested in these figures, and give a reason for each. (2)

Statement of Profit or Loss and Statement of Financial Position

Section A: Multiple choice (1 mark each)

FS.1 Where is carriage outwards shown?

- A. Cost of sales
- B. Expenses in the Statement of Profit or Loss
- C. Current liabilities
- D. Deducted from revenue

FS.2 Where are drawings shown?

- A. Expenses in the Statement of Profit or Loss
- B. Current liabilities
- C. Deducted from capital in the Statement of Financial Position

- D. Current assets

FS.3 Opening inventory RM5,000, purchases RM30,000, purchases returns RM1,000, carriage inwards RM500, closing inventory RM6,000. What is cost of sales?

- A. RM28,500
- B. RM29,500
- C. RM27,500
- D. RM30,500

FS.4 A bank overdraft is:

- A. A current asset
- B. A non-current liability
- C. A current liability
- D. Part of capital

FS.5 Current assets are RM18,000 and current liabilities are RM7,500. What is the working capital?

- A. RM25,500
- B. RM10,500
- C. RM7,500
- D. RM2.40

Section B: Structured questions (Level 1 easiest to Level 5 hardest)

Self-marking Excel version: [excel/Financial_Statements.xlsx](#), sheets QFS.6 to QFS.10. Full solutions are on the green Ans tabs.

FS.6 (Level 1: Easy)

Lina's Shop. The following figures are for the year ended 31 December 2025.

Item	Figure
Revenue (RM)	60,000
Sales returns (RM)	1,000
Purchases (RM)	38,000
Purchases returns (RM)	800
Carriage inwards (RM)	500
Inventory at 1 January 2025 (RM)	4,500
Inventory at 31 December 2025 (RM)	5,200

- Prepare the Statement of Profit or Loss for the year, as far as gross profit. (6)
- Explain why carriage inwards is included in cost of sales. (1)

FS.7 (Level 2: Easy to medium)

Omar. Balances at 31 December 2025, after all adjustments.

Item	Figure
Premises at cost (RM)	50,000
Motor vehicle at cost (RM)	15,000
Provision for depreciation: motor vehicle (RM)	5,000
Inventory (RM)	6,000
Trade receivables (RM)	7,500
Bank (RM)	2,300
Cash (RM)	200
Trade payables (RM)	4,800
Loan, repayable 2029 (RM)	10,000
Capital at 1 January 2025 (RM)	55,000
Profit for the year (RM)	14,200
Drawings (RM)	8,000

- a) Prepare the Statement of Financial Position at 31 December 2025. (8)
- b) State the working capital. (1)
- c) Explain the difference between a current liability and a non-current liability. (2)

FS.8 (Level 3: Medium)

Nadia's Crafts. Trial balance at 31 December 2025 and additional information.

Nadia's Crafts: Trial Balance at 31 December 2025

Particulars	Debit (RM)	Credit (RM)
Revenue		52,000
Purchases	30,000	
Inventory at 1 January 2025	3,000	
Wages	8,000	
Rent	4,400	
Insurance	1,200	
General expenses	900	
Fixtures at cost	10,000	
Provision for depreciation: fixtures		2,000
Trade receivables	5,000	
Trade payables		3,100
Bank	2,600	
Capital		14,000
Drawings	6,000	
Total	71,100	71,100

Item	Figure
1. Closing inventory (RM)	3,500
2. Rent owing (RM)	400
3. Insurance prepaid (RM)	200
4. Fixtures depreciation: % of cost per year	10%

a) Prepare the Statement of Profit or Loss for the year ended 31 December 2025. (10)

b) Prepare the Statement of Financial Position at 31 December 2025. (10)

FS.9 (Level 4: Hard)

Ben's Bikes. Trial balance at 30 June 2026 and additional information.

Ben's Bikes: Trial Balance at 30 June 2026

Particulars	Debit (RM)	Credit (RM)
Revenue		82,000
Purchases	45,000	
Sales returns	800	
Purchases returns		900
Carriage inwards	400	
Inventory at 1 July 2025	6,200	
Wages	12,600	
Electricity	2,300	
Insurance	1,600	
Advertising	1,200	
Irrecoverable debts	350	
Rent received		2,400
Motor vehicles at cost	24,000	
Provision for depreciation: motor vehicles		6,000
Fixtures at cost	8,000	
Provision for depreciation: fixtures		2,000
Trade receivables	9,000	
Allowance for irrecoverable debts		500
Trade payables		5,300
Bank	3,150	
Capital		23,000
Drawings	7,500	
Total	122,100	122,100

Item	Figure
1. Closing inventory (RM)	7,100
2. Electricity owing (RM)	250
3. Insurance prepaid (RM)	400
4. Rent received in advance for July 2026 (RM)	200
5. Allowance: % of trade receivables	4%
6. Motor vehicles depreciation: reducing balance	20%
7. Fixtures depreciation: % of cost (straight line)	10%

a) Prepare the Statement of Profit or Loss for the year ended 30 June 2026. (16)

b) Prepare the Statement of Financial Position at 30 June 2026. (14)

FS.10 (Level 5: Challenge)

Kofi Traders. Trial balance at 31 March 2026 and additional information.

Kofi Traders: Trial Balance at 31 March 2026

Particulars	Debit (RM)	Credit (RM)
Revenue		98,000
Purchases	54,000	
Sales returns	1,200	
Purchases returns		1,000
Carriage inwards	700	
Carriage outwards	900	
Inventory at 1 April 2025	7,400	
Wages	15,500	
Rent and rates	6,300	
Electricity	2,100	
Discount allowed	350	
Discount received		650
Commission received		1,200
Irrecoverable debts	450	
Premises at cost	40,000	
Equipment at cost	30,000	
Provision for depreciation: equipment		12,000
Disposal account		1,500
Trade receivables	14,000	
Allowance for irrecoverable debts		600
Trade payables		8,200
Bank overdraft		1,800
Cash	150	
Loan (repayable 2029)		8,000
Capital		50,100
Drawings	10,000	
Total	183,050	183,050

Item	Figure
1. Closing inventory (RM)	8,100
2. Electricity owing (RM)	300
3. Rent and rates prepaid (RM)	500
4. Commission receivable due (RM)	250
5. Further irrecoverable debt to write off (RM)	400
6. Allowance: % of remaining trade receivables	5%
7. Equipment sold on 31 March 2026: cost (RM)	5,000
7. Its accumulated depreciation at 1 April 2025 (RM)	3,000
7. Sale proceeds, already debited to bank and credited to disposal (RM)	1,500
8. Remaining equipment: reducing balance rate	20%
9. Loan interest per year (unpaid)	6%

1. No depreciation is charged in the year of sale. Premises are not depreciated.

a) Prepare the Disposal account. (4)

b) Prepare the Statement of Profit or Loss for the year ended 31 March 2026. (18)

c) Prepare the Statement of Financial Position at 31 March 2026. (16)